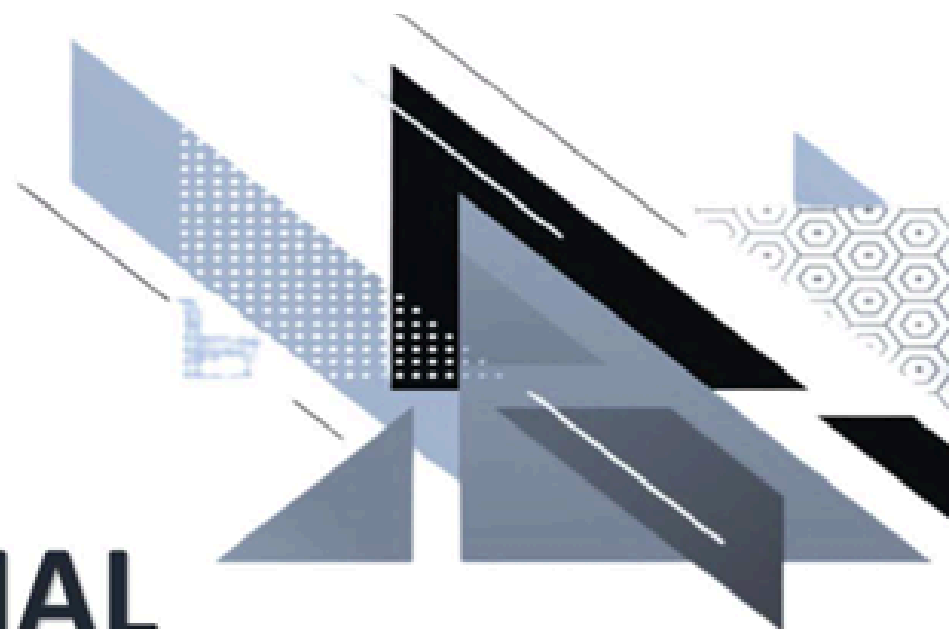




INTERNAL AUDIT REPORT



2025





PT Karya Prima Unggulan

INTERNAL AUDIT REPORT

PERIOD :	JANUARY 2026 - DECEMBER 2026
AUDIT COVERAGE :	FINANCIAL PROCESSES AND COMPLIANCE
DEPARTMENT COVERAGE :	ALL DEPARTMENT
AREA :	BALI, JAKARTA, MEDAN AND BATAM

AUDIT TEAM :

ELISIA SUTRISNA	ENGAGEMENT LEAD
KADEK WAHYUDI	TEAM LEAD
SRI NADI DEVI	MEMBER
HENDRA WIRAWAN	MEMBER
POPPY KERISTINA	MEMBER

DEPARTMENT COMPLETION DATE :

DEPARTMENT :		PAGE
FINANCE	January 31, 2025	8 - 8
HUMAN RESOURCES	February 28, 2025	9 - 9
OPERATIONAL	April 30, 2025	10 - 10
MERCHANDISE	May 31, 2025	11 - 11
WAREHOUSE	July 31, 2025	12 - 12
SECURITY	August 31, 2025	13 - 13
ACCOUNTING	August 31, 2025	14 - 14
MANAGEMENT INFORMATION SYS.	November 30, 2025	15 - 15
GENERAL & AFFAIR	November 30, 2025	16 - 16

DATE OF ISSUED : April 22, 2025





INTERNAL AUDIT REPORT

AUDIT PERIOD 2026

PREPARED BY :

ELISIA SUTRISNA

ENGAGEMENT LEAD

DATE

KADEK WAHYUDI

TEAM LEAD

DATE

MANAGEMENT APPROVAL,

AUDIT COMMITTEE,

PRESIDENT DIRECTOR,

GN HIANG LIN

IR. WONG BUDI SETIAWAN

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Executive Summary

1. Executive Summary

This executive summary provides a high-level overview of the internal audit performed for the fiscal year ending 2026. The objective of the audit was to evaluate the effectiveness of key internal controls, risk management practices, and compliance with applicable policies and regulations across the organization.

1.1 Introduction

The purpose of this internal audit report is to present an independent assessment of the organization's internal control environment and its alignment with strategic objectives. The audit focused on identifying control gaps, areas of non-compliance, and opportunities to enhance process efficiency and governance.

Our work was conducted in accordance with generally accepted internal auditing standards and the company's internal audit charter. The scope and approach were designed to provide reasonable assurance over key financial and operational processes.

1.2 Scope of the Audit

The audit covered activities and processes across the following departments:

- **Finance:** Cash management, budgeting, treasury, and financial reporting.
- **Accounting:** General ledger, accounts payable, accounts receivable, and closing processes.
- **Human Resources (HRD):** Recruitment, payroll, employee data management, and benefits administration.
- **General Affairs:** Facility management and administration of general services.
- **Operational:** Store operations, stock management, and customer-facing processes.
- **Warehouse:** Inventory management, inbound and outbound logistics, and stock accuracy.
- **Security (L&P):** Loss prevention, store security, and safeguarding of company assets.
- **Merchandise:** Vendor management, pricing, and assortment planning.
- **MIS:** IT governance, application controls, user access management, and system support.
- **Tax:** Compliance with tax regulations and timely submission of tax returns.

1.3 Key Findings

Overall, the audit identified a combination of strengths and weaknesses across the audited areas. While several controls are operating effectively, there are also gaps that may expose the organization to operational, financial, and compliance risks.

1.4 Conclusion

1.5 Summary of Key Recommendations

Audit Objectives and Scope

2. Audit Objectives and Scope

2.1 Objectives

The overarching objectives of this audit were:

- To evaluate the adequacy and effectiveness of internal controls across multiple departments.
- To assess compliance with organizational policies, external regulations, and industry best practices.
- To identify opportunities for process improvements and operational efficiency.
- To assess the risk management practices in place within each department.

2.2 Scope

The audit covered the following departments:

- **Finance:** Focused on cash management, budgeting, and financial reporting.
- **Accounting:** Reviewed general ledger, accounts payable, accounts receivable, and financial closing procedures.
- **Human Resources (HRD):** Examined employee recruitment, onboarding, payroll, and compliance with labor laws.
- **General Affairs:** Reviewed procurement, office services, and facilities management.
- **Store Design & Planning:** Assessed project management processes and resource allocation for new store developments.
- **Tax:** Focused on tax reporting, filing, and reconciliation.
- **Security:** Reviewed physical security measures, access controls, and incident response processes.
- **Management Information Systems (MIS):** Assessed data security, access controls, and disaster recovery planning.
- **Merchandise:** Focused on inventory management, vendor relationships, and pricing strategies.
- **Operational:** Examined the effectiveness of day-to-day operational processes.
- **Warehouse:** Reviewed inventory control, stock management, and logistics efficiency.

Audit Approach and Methodology

3. Audit Approach and Methodology

3.1 Audit Approach

The audit followed a risk-based approach, focusing on areas with higher potential for non-compliance, operational inefficiencies, and financial risks. The methods used included:

Document Review: Reviewed policies, procedures, financial statements, trial balances, HR records, security logs, and project management documentation.

Interviews: Conducted discussions with department heads and key personnel to understand current processes, controls, and challenges.

Data Analysis: Analyzed financial data, tax filings, inventory reports, and payroll records to identify discrepancies and unusual trends.

Process Walkthroughs: Observed key processes in operation, such as cash handling, inventory management, and onboarding procedures.

Sampling: Selected representative transactions, employee files, and inventory records for detailed testing.

3.2 Standards Followed

The audit was conducted in accordance with the **International Standards for the Professional Practice of Internal Auditing (IIA Standards)** and complied with the company's internal audit charter, internal policies, and applicable regulatory requirements.

3.3 Sampling Methodology

The sampling methodology for this internal audit employed two primary approaches: **random sampling** and **judgmental sampling**. Each method was tailored to enhance the effectiveness of the audit while ensuring comprehensive coverage of high-risk areas.

1. Random Sampling Method

Definition: Selecting a subset of transactions or records from the entire population so that each item has an equal chance of being included.

Purpose: Provide an unbiased representation of the population, reducing selection bias and ensuring that findings reflect the overall situation.

Implementation:

- **Population Identification:** Define the entire population from which samples will be drawn.
- **Sample Size Determination:** Calculate an appropriate sample size based on the population size, desired confidence level, and margin of error.
- **Random Selection Process:** Use random number generators or statistical tools to select items, ensuring each has an equal chance of inclusion.

Advantages:

- Minimizes selection bias.
- Provides a broader and more objective view of the population.

Limitations:

- May not focus sufficiently on high-risk areas.
- Important or unusual transactions may be excluded by chance.

2. Judgmental Sampling Method (continued)

Definition: Selecting specific transactions or records based on predefined criteria and the auditor's professional judgment.

Purpose: Target high-risk areas or transactions that are more likely to reveal issues, ensuring a focused audit approach.

Implementation:

- **Risk Assessment:** Identify high-risk areas, unusual transactions, or areas with significant judgment.
- **Criteria Development:** Establish selection criteria such as transaction value, frequency, or recent changes in procedures.
- **Selection Process:** Choose transactions based on the established criteria, documenting the rationale for each selection.

Advantages:

- Focuses on high-risk areas, increasing the likelihood of identifying issues.
- Allows flexibility and professional judgment in targeting critical areas.

Limitations:

- Results may be influenced by auditor judgment and may not be fully representative.
- Requires clear documentation to support the basis for selection.

4. Methodology

The following points outline the audit methodology used during the internal audit, structured into several key phases:

4.1 Planning Phase

- Define audit objectives and scope.
- Identify key risks and areas of concern through preliminary assessments.
- Develop an audit plan outlining the timeline, resources needed, and specific areas to be tested.

4.2 Fieldwork Phase

- **Data Collection:** Gather relevant documents, records, and transaction data from various departments.
- **Interviews:** Conduct interviews with key personnel to understand processes, controls, and any issues faced.
- **Observations:** Observe operational processes in real time to assess compliance with established procedures.

4.3 Testing Phase

- **Substantive Testing:** Perform detailed testing of selected transactions to verify accuracy and compliance with policies.
- **Control Testing:** Evaluate the effectiveness of internal controls by testing their design and operational effectiveness.
- **Analytical Procedures:** Use analytical techniques to identify trends, anomalies, or unexpected variances in financial and operational data.

4.4 Documentation Phase

- Maintain detailed documentation of all findings, evidence collected, and testing performed.
- Document sampling decisions and any deviations from the original audit plan.

4.5 Reporting Phase

- Compile findings into a comprehensive audit report, summarizing key issues identified and risk ratings.
- Present the report to management, highlighting critical areas that require immediate attention.

4.6 Follow-Up Phase

- Establish a follow-up plan to monitor the implementation of agreed recommendations.
- Schedule follow-up audits as necessary to ensure that corrective actions have been taken and are effective.

By employing a structured audit methodology, supported by both random and judgmental sampling methods, this internal audit provides a thorough assessment of the company's controls and processes, ensuring a comprehensive evaluation of risks and compliance.

Findings & Recommendations

5 Finding & Recommendation

5.1 Department FINANCE

Standard Operating Procedure Related (SOP Review)

No	Standard Operating Procedure Related	Review	Auditee Comment	Follow-Up Detail
1	Daily monitoring of computer and devices including hardware and software maintenance	sdf	Auditee comment	Follow-up detail
2	To ensure hardware is compatible the PT KPU's systems used including backoffice system and operational system (POS), IT Team will determine and approve any and all hardware programs	sdf	Auditee comment	Follow-up detail
3	The IT Program will monitor the software and hardware installations within the Oxy System the following are prohibited hardware and software: a. Hardware or software that makes any portion of the network unstable. b. Hardware or software that is used for illegal purposes c. Hardware of software which there are licensing issues which legally prohibit its use. d. In all cases, any hardware or software that makes any portion of the network unstable will be immediately removed from the network and the system will be restored to its standard configuration .	sdf	Auditee comment	Follow-up detail
4	Development for software and system planning and determine a year ahead.	sdf	Auditee comment	Follow-up detail
5	Create a development structure and planning for the improvement based on the discussion and review result of each module in the system.	dsf	Auditee comment	Follow-up detail
6	Development bases on the user's needs and report and suggestions.	sdf	Auditee comment	Follow-up detail

No	Standard Operating Procedure Related	Review	Auditee Comment	Follow-Up Detail
7	Development action involving the third parties system supplier for any update and improvement partnership with all the user in the Company.	dsf	Auditee comment	Follow-up detail
8	The IT Team disposes of broken electronic equipment. The user must report the complete chronology regarding the case and submit it to the IT Support	sdf	Auditee comment	Follow-up detail
9	The IT Team will dispose all the broken electronic equipment that has been submitted with IT Manager knowledge and approval.	sdf	Auditee comment	Follow-up detail

Audit Review — Findings Detail

No	Risk ID	Risk Details	Audit Program Code	Substantive Test	Risk Level	Methodology	Finding Result	Finding Description	Auditee Comment	Follow-Up Detail
1	A.2.1.9	twe	A.2.1.9.1	wafs		asf	-	-	Auditee comment	Follow-up detail
2	A.2.1.9	twe	A.2.1.9.2	aesf		sdf	-	-	Auditee comment	Follow-up detail
3	A.2.1.10	app	A.2.1.10.1	asd		asd	-	-	Auditee comment	Follow-up detail
4	A.2.1.11	new	A.2.1.11.1	asd		das	-	-	Auditee comment	Follow-up detail

Findings & Recommendations

5 Finding & Recommendation

5.2 Department ACCOUNTING

Standard Operating Procedure Related (SOP Review)

No	Standard Operating Procedure Related	Review	Auditee Comment	Follow-Up Detail
1	The MIS Department receives a device request from another Department leader/manager or from the MIS Department who finds a device that is damaged and deserves to be repaired or replaced.	-	Auditee comment	Follow-up detail
2	MIS Department will check the stock or repair the device.	-	Auditee comment	Follow-up detail
3	If goods are damaged due to user negligence with an asset age requirement of less than 5 years, the user must pay 50% of the total repair costs .	-	Auditee comment	Follow-up detail
4	If user need to purchase a new device, then contact the Supplier to check prices and stock.	-	Auditee comment	Follow-up detail
5	Create a Purchase Request form (example of the Purchase Request form attached) according to the price and stock from the available supplier then report to the IT manager for approval.	-	Auditee comment	Follow-up detail
6	For devices that cost under one million, it is submitted by the MIS Staff and if it is over one million, it is submitted by the IT Leader/Supervisor/Manager.	-	Auditee comment	Follow-up detail
7	If approved by the IT Manager then the IT Manager seeks approval from the General Manager.	-	Auditee comment	Follow-up detail
8	If it has been approved by the General Manager then order the device to the Supplier by sending the approved Purchase Request form.	-	Auditee comment	Follow-up detail
9	The Purchase Request Form is then submitted to the Finance section to be processed for payment to the Supplier.	-	Auditee comment	Follow-up detail
10	If it has been paid to the supplier, then ask for an invoice and take the device that has been ordered to the supplier.	-	Auditee comment	Follow-up detail
11	Arriving at the supplier, check the quantity and quality of the goods again.	-	Auditee comment	Follow-up detail

No	Standard Operating Procedure Related	Review	Auditee Comment	Follow-Up Detail
12	Hand over the item to the department that requested it earlier or was damaged.	-	Auditee comment	Follow-up detail
13	Daily monitoring of computer and devices including hardware and software maintenance	-	Auditee comment	Follow-up detail
14	To ensure hardware is compatible the PT KPU's systems used including backoffice system and operational system (POS), IT Team will determine and approve any and all hardware programs	-	Auditee comment	Follow-up detail
15	The IT Program will monitor the software and hardware installations within the Oxy System the following are prohibited hardware and software: a. Hardware or software that makes any portion of the network unstable. b. Hardware or software that is used for illegal purposes c. Hardware of software which there are licensing issues which legally prohibit its use. d. In all cases, any hardware or software that makes any portion of the network unstable will be immediately removed from the network and the system will be restored to its standard configuration .	-	Auditee comment	Follow-up detail
16	Development for software and system planning and determine a year ahead.	-	Auditee comment	Follow-up detail
17	Create a development structure and planning for the improvement based on the discussion and review result of each module in the system.	-	Auditee comment	Follow-up detail

No	Standard Operating Procedure Related	Review	Auditee Comment	Follow-Up Detail
18	Development bases on the user's needs and report and suggestions.	-	Auditee comment	Follow-up detail
19	Development action involving the third parties system supplier for any update and improvement partnership with all the user in the Company.	-	Auditee comment	Follow-up detail
20	The IT Team disposes of broken electronic equipment. The user must report the complete chronology regarding the case and submit it to the IT Support	-	Auditee comment	Follow-up detail
21	The IT Team will dispose all the broken electronic equipment that has been submitted with IT Manager knowledge and approval.	-	Auditee comment	Follow-up detail

Audit Review — Findings Detail

No	Risk ID	Risk Details	Audit Program Code	Substantive Test	Risk Level	Methodology	Finding Result	Finding Description	Auditee Comment	Follow-Up Detail
1	A.2.1.1	test	ACC-1.1	test		testtest	-	-	Auditee comment	Follow-up detail
2	A.2.1.1	test	ACC-1.2	test		test	-	-	Auditee comment	Follow-up detail
3	A.2.1.2	test	A.2.1.2.1	Hari ini mungkin tidak berjalan seperti yang kamu harapkan. Ada rencana yang tertunda, ada usaha yang belum membuahkan hasil, dan ada lelah yang tidak terlihat oleh siapa pun. Tapi ingat, hidup bukan tentang siapa yang paling cepat sampai, melainkan siapa yang tetap bertahan meski jalannya berat.		Hari ini mungkin tidak berjalan seperti yang kamu harapkan. Ada rencana yang tertunda, ada usaha yang belum membuahkan hasil, dan ada lelah yang tidak terlihat oleh siapa pun. Tapi ingat, hidup bukan tentang siapa yang paling cepat sampai, melainkan siapa yang tetap bertahan meski jalannya berat.	-	-	Auditee comment	Follow-up detail
4	A.2.1.3	test	-	-		-	-	-	Auditee comment	Follow-up detail

Findings & Recommendations

5 Finding & Recommendation

5.3 Department HRD

Audit Review — Findings Detail

No	Risk ID	Risk Details	Audit Program Code	Substantive Test	Risk Level	Methodology	Finding Result	Finding Description	Auditee Comment	Follow-Up Detail
1	A.2.1.1	test	-	-		-	-	-	Auditee comment	Follow-up detail
2	A.2.1.2	test	-	-		-	-	-	Auditee comment	Follow-up detail

Findings & Recommendations

5 Finding & Recommendation

5.4 Department G&A

Audit Review — Findings Detail

No	Risk ID	Risk Details	Audit Program Code	Substantive Test	Risk Level	Methodology	Finding Result	Finding Description	Auditee Comment	Follow-Up Detail
1	A.2.1.1	test	A.2.1.1.1	test		test	-	-	Auditee comment	Follow-up detail
2	A.2.1.1	test	A.2.1.1.2	test		test	-	-	Auditee comment	Follow-up detail